

Prop Firm Risk Management

Choose your aggression level to balance capital preservation with account growth.

Conservative

Moderate

Aggressive

Risk-First Execution

Introduction: Why Your Aggression Level Matters

Trading with a futures prop firm requires a delicate balance between generating profits and strictly adhering to rigid drawdown rules. Unlike a personal retail account, a prop firm account operates with hard loss limits, trailing drawdowns, and consistency rules. Sizing your trades is not just a matter of personal preference—it is a critical survival mechanism. By defining your aggression level, you map out exactly how to handle drawdowns while positioning yourself for consistent payouts.

The 3 Levels of Aggression

1. Conservative Aggression

Definition: Take A+ trades and ensure you never blow up.

- **Best For:** First-time funded traders with no time limit to payout. This slow and steady approach ensures your edge can withstand even the most vicious losing streak. Realistically this sizing won't get you funded in 30 days so it is not recommended for the evaluation stage.
- **Risk Management Guidance:** Risk 2% of the remaining drawdown per trade (calculate before every trade).
- **Typical Behavior:** Patiently wait for high-probability trades. Even with a tight consistency rule, it's hard to hit your daily profit cutoff or daily loss limit. You will be bored.
- **Common Mistakes to Avoid:** Taking lower quality setups to "make-up" for the small size. Adding more contracts to make it "meaningful." This adds variance and destroys the smooth equity curve.

2. Moderate Aggression

Definition: Take A+ trades and have good growth speed without worrying too much in drawdowns.

- **Best For:** More experienced traders who have a good edge and can pass evals within 30 days, and maintain the same risk profile once funded. A balanced risk profile to scale their prop firm portfolio.
- **Risk Management Guidance:** Risk 5% of the remaining drawdown per trade (calculate before every trade).
- **Typical Behavior:** A good sized risk % for prop, this is a bit more stressful but you should be able to remain calm when drawing down and reducing size, and enjoy the account growth that comes with sizing up fairly quickly.
- **Common Mistakes to Avoid:** Loss aversion may start to creep in vs the conservative style. Remind yourself when you have lost a few trades that even though your account is down let's say 18.6% (that is four 5% losses), you WILL get out of drawdown if you just continue to take good trades. Your \$ risk is now 18.6% less than what you started your fresh account with, but your risk % is fixed at 5%. A few good trades and you will recover. Make sure not to repeatedly enter after getting stopped out. Take a 30-60m break after a trade if getting tilted and wait for a new idea. Watch out for the firm's max daily loss limit and lock your trading platform if you ever get close (90% in range).

3. Aggressive

Definition: This is my favourite style but then again I am a degenerate. Take A+ trades and experience massive growth on winners and psychologically devastating drawdowns.

- **Best For:** Highly experienced prop traders with psychological edge and an appreciation for wild variance. No risk no reward.
- **Risk Management Guidance:** Risk 10% of the remaining drawdown per trade (calculate before every trade). Be careful not to trigger the daily loss limit.
- **Typical Behavior:** Very large risk %. Probably too stressful long term with a real cash account, but this is the prop firm world, baby.
- **Common Mistakes to Avoid:** You really need to ensure you don't "just take another" on this style because if you do you can rapidly be down 50% of your tradable equity. Tilt trading, hitting the daily drawdown limit too quickly, and blowing an account in a single erratic session are all possibilities here, so ensure you know what you are getting yourself into. If you can stay calm at this level you will pass evals and earn payouts muy rapido.

Aggression Levels Comparison

Criteria	Conservative	Moderate	Aggressive
Risk per Trade	2% of remaining drawdown	5% of remaining drawdown	10% of remaining drawdown
Daily Loss Limit Risk	Almost impossible	Possible if overtrading	Be careful
Trading Quality	A+ Only	A+ Only	A+ Only
Ideal Profile	First Funded Account	Typical Funded Trader	Skilled Yoloer
Biggest Danger	Boredom/Sudden Overleverage	Boredom/Loss Aversion Tilt	Loss Aversion Tilt/Hesitation

Practical Frameworks for Risk Management

Regardless of your chosen level, successful prop firm trading requires structural frameworks that keep you well inside hard firm limits while preserving your mental capital.

- **Max Risk Per Trade:** Before every trade, check the live distance to the trailing threshold in Rithmic or on the Tradovate dashboard, then size risk from the remaining drawdown buffer using your aggression profile (2% conservative, 5% moderate, 10% aggressive).
- **Daily Loss Cap Mindset:** Set a personal daily loss limit that is 50%-90% of the prop firm's hard rule. If the firm fails you at \$2,000, your personal limit should be \$1,000.
- **Scaling In and Out:** Only scale into trades if you won't exceed the risk % you already decided on. Never break the fixed risk %, ever ever. Scaling out I don't recommend because it kills your edge.
- **Stop Loss Discipline:** Every trade must have a hard stop loss placed in the market immediately upon entry. Mental stops fail under pressure.
- **Reducing Size After Losses:** If you take a full-sized loss, check your remaining drawdown equity and find your next trade risk by multiplying by your style %. This pause deletes the emotional desire to revenge trade recover your "big loss" because you realise "oh yeah, it wasn't a big loss it was the amount I decided to risk and I will make it back naturally by continuing my process."
- **Scaling Up After Wins:** If you reach a new equity high (usually after your drawdown stops chasing you) it means you can increase your position size! Unlike those losers who risk some arbitrary

amount like \$500 for their entire career, your fixed risk % ensures you are risking larger and larger \$ amounts, yet the risk to your account stays the same.

How to Choose Your Level

Ask yourself these practical self-assessment questions to determine your current optimal aggression level:

- What phase am I in? (Evaluation = Moderate/Aggressive; Funded = Depends on your risk tolerance and ability to stay calm.
- What are my goals?
- How do I react emotionally to two back-to-back losses?
- Am I trading a highly volatile asset like NQ or a slower asset like ES where my win rate might be higher?
- Do I have a written rule for when to stop trading after losses or after hitting my daily goal?

Prop Firm Risk Rules to Respect

Prop firms are designed to test your discipline. Keep these universal principles in mind:

- **The Trailing Drawdown:** Realize that in some firms, your drawdown is calculated on highest open equity, not closed end of day balance. I don't recommend these as it is almost impossible to be aggressive without rollbacks screwing you over on an otherwise breakeven trade. Stick to EOD accounts or yolo a trailing account if it is dirt cheap. Once passed and activation fee paid you will pretty much be forced to go conservative due to not wanting to blow up. The ROI may be good in some instances but the ROC may be very slow so I say avoid at all costs.
- **Consistency Rules:** Some firms require that no single day accounts for more than 30% of your total profit. Aggressive trading can easily violate this. Let's say you have 2k dd and a 3k target. Your profit cutoff is \$900 per day. If you have a banger trade and are up \$700-\$800 when trading with 5MNQ... you could drop to 1MNQ for the rest of the day and push or simply decide it's not worth the effort and come back full sized the next day.
- **News Trading:** Be acutely aware of macroeconomic data releases. Some firms prohibit trading around major news events. I would avoid those types of accounts because sometimes you want to hold a trade through news. In general though you shouldn't open a new trade as soon as news comes out. Give it at least 5m.

Conclusion

Success in the futures prop firm industry is ultimately defined in payouts. But how long those take is up to you. I recommend you challenge your limits, add size, and become the best trader you can be. By carefully selecting your level of aggression and rigorously enforcing the associated risk management rules, you replace emotional guesswork with disciplined execution. Treat the firm's capital with respect, build your accounts methodically, and scale your aggression only when your edge and your trading psychology fully align.

Hope you got value,
Fabian.

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